# Car Plan: 2012 Honda Fit

A proposal for Dad | Ridgecrest, CA

Dad, I found a reliable car for my DoorDash work: a 2012 Honda Fit for sale in Bakersfield, listed at $5,570 with about 165,239 miles. I'm asking for your help buying it. I'll pay you back in full with no interest, on a schedule that grows as my deliveries recover, and I'll cover the cost of insuring the car. Everything is written down so we both know exactly what to expect.

## The ask

- **You buy the car** from the seller. I'll negotiate the price down first (target $5,000) and get a mechanic's inspection before anyone pays.
- **I pay you $2,000 up front** toward my monthly payments. That covers about 9 months of insurance while my DoorDash account recovers from a contract violation that clears after 26 more deliveries.
- **I repay the car on a step-up schedule**, no interest: nothing while my deliveries recover, **$100 a month** once I'm steadily at 38+ deliveries a week, and **$300 a month** at 50+. I can pay extra in good weeks, and payments start by a date we agree on no matter what.
- **The car is in your name only** (or Grandpa's): you are the registered owner and I'm the main driver. When I've paid you back and my old car loan is resolved, you sign it over to me.
- **Insurance on your policy** if your insurer approves it, and I pay you the full cost each month (about $220/month estimated). Details on page 2.

## What it costs you and what you get back

| | Target price | Full asking price |
|---|---|---|
| Purchase price | $5,000 | $5,570 |
| Sales tax (9.25%) | $462 | $515 |
| **Your total cost (what I repay you)** | **$5,462** | **$6,085** |
| Repayment | $0, then $100/month, then $300/month | $0, then $100/month, then $300/month |
| Example: $0 for 3 months, $100 for 9, then $300 | Paid off around month 28 (~2.3 years) | Paid off around month 30 (~2.5 years) |
| **You get back** | **All $5,462** | **All $6,085** |

I'll also pay DMV transfer and registration (about $250), and all maintenance, repairs, gas and registration renewals.

## How you're protected

- **You own the car.** It's registered only in your name, so it stays yours and is protected from the balance I still owe on my repossessed car.
- **I'm resolving my old car loan** with free help from legal aid (Greater Bakersfield Legal Assistance), and the title only moves to me once that's settled.
- **Full coverage insurance**, paid by me, protects the car's value if anything happens to it.
- **A written agreement** (pages 4 and 5) covers payments, insurance and what happens if I fall behind.
- **A payment record** (page 6) so every payment is tracked.
- **Honest numbers:** page 3 shows my real DoorDash earnings and exactly when each payment step becomes affordable.

# Putting the Car on Your Insurance

How it would work, what to ask your insurer, and how I cover the cost

**Insurance comes first:** about $220 a month (the exact amount your insurer adds), paid every month whether or not a car payment is due yet. My $2,000 up front covers about 9 months of it. Your multi-car or loyalty discounts may make it less than a policy in my own name.

## Why we need to check with your insurer first

You would own the car, but we live at different addresses and it would be kept at my place in Ridgecrest, with me as its main driver and DoorDash use. Many insurers only cover drivers in the policyholder's household, so your insurer has to approve this setup. Everything has to be reported accurately. If the driver, address or delivery use is listed wrong, a claim can be denied or the policy canceled, which could affect your other cars too.

## Questions for your insurance agent

- Can you insure a car I own that is kept at my son's address, with him listed as the primary driver?
- Can you add a **delivery or rideshare endorsement** for DoorDash use? (A personal policy alone usually won't cover delivery driving.)
- What does adding this 2012 Honda Fit with **full coverage** cost per month, including any multi-car discount?
- What liability limits do you recommend, since as the owner I share some legal responsibility? (100/300/100 or higher is common.)
- If he has an accident, how would it affect my premiums?

## If your insurer says no: Plan B

I look for my own full coverage policy as the car's primary driver, with a delivery endorsement (about $220/month estimated), listing you as the owner, additional insured and loss payee. Not every insurer allows this when the driver isn't the owner, so I'll get quotes before we buy. You'd get proof of coverage, and the payment to you would just be the car payment on the step-up schedule. Either way, the car stays fully insured.

## My promises on insurance

- I pay you the **full cost** of the car's insurance every month, even before car payments begin.
- I pay the **deductible** for any claim involving the car.
- If a claim I'm responsible for **raises your premium**, I pay the increase.
- I keep the delivery endorsement active and never drive for DoorDash without it.

# How I'll Cover the Payments

Based on my actual DoorDash numbers | Platinum Dasher

**My most recent week:** 23 deliveries, **$246.54** earned, about **$10.72 per delivery**. I was online 37.7 hours but only delivering for 5.9 of them, because orders are slow until my contract violation clears after 26 deliveries.

**My budget includes child support** (17% of my earnings), food and utilities. After those, I cover the car's insurance at about **31** deliveries a week, can add a $100 car payment at about **38**, and the full $300 at about **50**.

**My up-front payment covers the gap.** It pays about 9 months of insurance, so right now I clear about $6 a week while I get my deliveries back up.

## Weekly budget by number of deliveries

| Weekly | Now, insurance prepaid (23) | Now, after prepay (23) | $100/month step (38 deliveries) | $300/month step (50 deliveries) |
|---|---|---|---|---|
| DoorDash earnings | $247 | $247 | $407 | $536 |
| Miles driven (estimate) | 270 | 270 | 420 | 540 |
| Gas ($6/gallon) | -$58 | -$58 | -$90 | -$116 |
| Maintenance and tires | -$19 | -$19 | -$29 | -$38 |
| Child support (17%) | -$42 | -$42 | -$69 | -$91 |
| Phone and registration | -$26 | -$26 | -$26 | -$26 |
| Tax set-aside | -$4 | -$4 | -$10 | -$15 |
| **Available before paying Dad** | **$98** | **$98** | **$183** | **$250** |
| Insurance to Dad (~$220/month) | $0 (prepaid) | -$51 | -$51 | -$51 |
| Car payment to Dad | $0 | $0 | -$23 | -$69 |
| Food and utilities ($400/month) | -$92 | -$92 | -$92 | -$92 |
| **Left over each week** | **$6** | **-$45** | **$17** | **$38** |

Each step keeps about a third of what's left as a cushion for repairs and slow weeks.

## How I'll get from 23 to 38+ deliveries

- **Clear the contract violation.** At my current pace, 26 deliveries takes about 8 days. Offers should pick up after that.
- **Avoid another violation.** When a pickup runs late, the app sometimes offers to let me wait it out or pass the rest of the delivery without affecting my completion rate. Using that option gives me some control over preventing another late-pickup violation.
- **Use my idle time.** Only about 16% of my online time is spent delivering. Running Walmart Spark during the waits can add deliveries without adding hours.
- **Dash the peaks**, lunch and dinner, especially Friday through Sunday, when offers are most frequent.
- **Share my numbers.** I'll send you my weekly DoorDash earnings each month so you can see when each step is reached.

Pay per delivery and hours are from my DoorDash account (most recent week). Miles are estimated on the high side (about 10 per delivery plus 40 a week) with gas at $6/gallon and about 28 MPG in town for this car. Child support is figured at 17% of gross earnings. Because you'd own the car, my mileage tax deduction may be limited, which could raise my taxes; I'll confirm with a tax preparer.

# Family Vehicle Ownership, Use and Purchase Agreement

Between a family member who owns the car and the son who drives it | State of California

**1. Parties.** This Agreement is between the Owner and the Son named below.

| | Owner (Dad or Grandpa) | Son |
|---|---|---|
| Full name | | |
| Address | | |
| Phone | | |

**2. Vehicle.** The vehicle covered by this Agreement (the "Vehicle"):

| | |
|---|---|
| Year / make / model | 2012 Honda Fit |
| VIN | JHMGE8H39CS000860 |
| License plate | |
| Odometer at purchase | _____ (listed at 165,239) |
| Purchased from / date | |

**3. Amounts.**

| | |
|---|---|
| Purchase price paid by Owner | $_____ |
| Sales tax and fees paid by Owner | $_____ |
| Owner's total cost = Son's purchase price for the Vehicle | $_____ |
| Son's up-front prepayment (paid on _____) | $2,000 |

**4. Ownership.** Owner buys the Vehicle with Owner's own money and is its sole registered and legal owner. Son is the primary driver with Owner's permission and does not own the Vehicle while this Agreement is in effect. Son's payments in section 5 go toward buying the Vehicle from Owner. After Son has paid the full amount, Owner will sign the title over to Son within 10 days of Son's written request.

**5. Repayment.** Son will pay Owner the purchase price with no interest on a step-up schedule: **$0 per month** until Son completes four weeks in a row with **38** or more deliveries; then **$100 per month**; and after four weeks in a row with **50** or more deliveries, **$300 per month** until paid in full. In any case, payments of at least $100 per month begin no later than _____ (date agreed together). Payments are due on the ____ day of each month. Son will share his weekly DoorDash earnings with Owner each month. Son's up-front prepayment is applied to the monthly insurance and any car payments due, in order, until it is used up. Payments are made by a traceable method (bank transfer, Zelle or check), and Son may pay extra or pay off early at any time.

**6. Insurance.** The Vehicle will be insured with full coverage (liability, comprehensive and collision) and a delivery or rideshare endorsement for DoorDash use, with accurate information given to the insurer about the primary driver, garaging address and use. If insured on Owner's policy, Son will repay Owner the full premium for the Vehicle each month on the payment due date, pay the deductible for any claim involving the Vehicle, and pay any premium increase caused by a claim Son is responsible for. If Owner's insurer will not cover the

Vehicle, Son will buy his own policy naming Owner as additional insured and loss payee and give Owner proof of coverage.

**7. Use and care.** Son is the primary driver and may use the Vehicle for personal use and delivery work. Son pays all gas, maintenance, repairs, registration renewals, tickets and tolls, keeps the Vehicle in good condition, and will not let anyone else drive it regularly without Owner's agreement.

**8. Condition.** The Vehicle is bought in its current condition after a mechanic's inspection.

**9. Late payments.** A payment is late if not received within **15 days** of its due date. If Son expects to be late, he will tell Owner before the due date. Any change to the payment amount or schedule must be agreed in writing.

**10. Default.** If an insurance or car payment that is due is more than 30 days late, or the insurance lapses, Owner will give Son written notice and Son will have **10 days** to fix it. If Son does not, Son will return the Vehicle to Owner. Owner may keep the Vehicle or sell it at a fair price. If Owner sells it, Owner keeps the unpaid amount plus reasonable costs of sale and pays any amount left over to Son.

**11. If the Vehicle is totaled.** Insurance proceeds go to Owner first to cover the amount Son has not yet paid; any amount Son has already paid toward the purchase is refunded to Son from what's left.

**12. Whole agreement.** This is the complete agreement. Changes must be in writing and signed by both. If any part is unenforceable, the rest still applies. California law governs.

| Owner signature | Date | Son signature | Date |
|---|---|---|---|
| | | | |
| Owner printed name | | Son printed name | |
| | | | |

Optional: sign in front of a notary.

Plain-language template, not legal, tax or insurance advice. Confirm the insurance setup with the insurer, the registration with the DMV, the mileage deduction with a tax preparer, and anything involving the old car loan with legal aid or an attorney.

# Payment Record

2012 Honda Fit | Step-up car payment ($0 / $100 / $300) plus insurance | Amount owed: $_____

| Month | Due date | Car payment | Insurance | Paid by | Balance owed after | Owner's initials |
|---|---|---|---|---|---|---|
| Start | | | | $2,000 prepaid | $ | |
| 1 | | $ | $ | | $ | |
| 2 | | $ | $ | | $ | |
| 3 | | $ | $ | | $ | |
| 4 | | $ | $ | | $ | |
| 5 | | $ | $ | | $ | |
| 6 | | $ | $ | | $ | |
| 7 | | $ | $ | | $ | |
| 8 | | $ | $ | | $ | |
| 9 | | $ | $ | | $ | |
| 10 | | $ | $ | | $ | |
| 11 | | $ | $ | | $ | |
| 12 | | $ | $ | | $ | |
| 13 | | $ | $ | | $ | |
| 14 | | $ | $ | | $ | |
| 15 | | $ | $ | | $ | |
| 16 | | $ | $ | | $ | |
| 17 | | $ | $ | | $ | |
| 18 | | $ | $ | | $ | |
| 19 | | $ | $ | | $ | |
| 20 | | $ | $ | | $ | |
| 21 | | $ | $ | | $ | |
| 22 | | $ | $ | | $ | |
| 23 | | $ | $ | | $ | |
| 24 | | $ | $ | | $ | |
| 25 | | $ | $ | | $ | |
| 26 | | $ | $ | | $ | |
| 27 | | $ | $ | | $ | |
| 28 | | $ | $ | | $ | |
| 29 | | $ | $ | | $ | |
| 30 | | $ | $ | | $ | |
| 31 | | $ | $ | | $ | |
| 32 | | $ | $ | | $ | |
| 33 | | $ | $ | | $ | |
| 34 | | $ | $ | | $ | |
| 35 | | $ | $ | | $ | |
| 36 | | $ | $ | | $ | |

Paid in full and title signed over on: _____ Owner's initials: _____